

2:00 PM

LINE 5

24-CIV-03737

JESSICA LORENZO VS ANX HOLDINGS LLC

JESSICA LORENZO
ANX HOLDINGS LLC

DOUGLAS HAN

MOTION FOR FINAL APPROVAL OF CLASS ACTION SETTLEMENT, CLASS COUNSEL FEES PAYMENT, CLASS COUNSEL LITIGATION EXPENSE PAYMENT, AND CLASS REPRESENTATIVE SERVICE PAYMENT

TENTATIVE RULING:

The court rules on plaintiff's unopposed motion for final approval of class action settlement and award of attorneys' fees, service award and costs as follows:

The Court Grants Approval of the Settlement

On January 20, 2026 (with written order on January 28, 2026), the court granted preliminary approval to this class and PAGA (Private Attorney General Act) settlement. The action alleges wage and hour violations.

According to the preliminary approval motion, it was estimated that there are approximately 83 class members, who worked 9,000 workweeks. The proposed settlement amount is \$335,000. The settlement is estimated to provide an individual average settlement amount of \$1,780.12. The settlement will provide a payment of \$13,000 to the California Labor and Workforce Development Agency (LDWA) (i.e., 75% of the \$20,000 amount allocated to resolve the PAGA allegations). The remaining \$7,000 shall be distributed amongst Aggrieved Employees. The LDWA has not objected to the settlement. The declaration of Amanda Howard from ILYM Group, Inc.(ILYM), the court approved claims administrator, states that there are 116 participating class members, of which 72 are aggrieved employers and that the average individual class payment is \$1,342.73 with the highest individual class payment of \$4,955.15 before the deduction of taxes. (Howard Decl., ¶¶ 14-15.)

In ruling on settlements involving class and PAGA claims, this court has a duty to independently determine whether a settlement is fair, reasonable and adequate. (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77, disapproved of on other grounds by *Turrieta v. Lyft, Inc.* (2024) 16 Cal.5th 664 [“trial court should evaluate a PAGA settlement to determine whether it is fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.”]; *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 129 [“ ‘The court has a fiduciary responsibility as guardians of the rights of the absentee class members when deciding whether to approve a settlement agreement.’ “].)

In reviewing the evidence presented and conducting its independent review, the court finds that all the conditions for final approval have been met. The court gives final approval to the settlement, including the allocation between the class and PAGA settlement. (Code of Civ. Proc., § 382; *Richmond v. Dart Industries* (1981) 29 Cal.3d 462, 470).

According to the declaration of Howard, on January 28, 2026, ILYM received a class list and on February 20, 2026, ILYM mailed the class notice. (Howard Decl., ¶¶ 7, 7.) Four notices were returned and remailed; thus there were no undelivered notices. (*Id.*, ¶ 9.) There have been no written disputes, no objections and three requests for exclusion. (*Id.*, ¶¶ 10-11.)

The class is ascertainable in that the class members have already been identified by defendant and they received notice of the settlement.

There is a community of interest in that common questions of law and fact predominate involving whether defendant properly calculated employee compensation. For settlement purposes, this community of interest is sufficient. Plaintiff/class representative Jessica Lorenzo's claims are typical of the class claims because she is alleged to have suffered the same injury as other class members. Lorenzo adequately represents the class, as set forth in her declaration and in having experienced class counsel. The settlement avoids the risk of the uncertainty of litigation. The settlement is fair adequate and reasonable. The law favors settlement and the fact that the class might be able to obtain more from a trial must be balanced against the risk of not having a class certified, receiving less than the settlement, including a defense verdict, the time and money that it would take to take the case to trial and through a potential appeal, and the potential for a change in law. The court in granting preliminary approval discussed the risks and benefits of the settlement. The case was mediated with mediator, Jason Marsili, and the fact that there were no objections, only three opt-outs and the LDWA did not object strongly supports approval of the settlement. The court approves the settlement.

ATTORNEYS FEES

Plaintiff's counsel requests attorneys' fees of 35% or \$117,250 of the gross settlement. The court awards 33%.

The court in reviewing the facts of this case finds that 33% award is appropriate. (*Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503 (*Lafitte*) ["33 1/3 percent of the common fund is consistent with, and in the range of, awards in other class action lawsuits"]; *Chavez v. Netflix, supra*, 162 App. 4th 43, 66 fn. 11 [final fee award was 27.9% of the benefits].)

While a common fund fee is appropriate here, even a proper common fund-based fee award should be reviewed through a lodestar cross-check. (*Lafitte, supra*, 1 Cal.5th at p. 503.) Plaintiff's counsel shows a lodestar of \$188,700 with hourly rates requested ranging from \$500.00 to \$900.00. (Han Decl., ¶11.)

In reviewing the evidence submitted, the court finds that the hourly rates are reasonable. Counsel rely on rates in Los Angeles County (Han Decl., ¶ 12), but this case is venued in San Mateo

County and it is the reasonable rates for San Mateo County that dictate the reasonable rates for attorneys' fees. " 'The reasonable hourly rate is that prevailing in the community for similar work.' " (See *Tidrick v. FCA US LLC* (2025) 112 Cal.App.5th 1147, 1157 [quoting *PLCM Group, Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1095].) Han makes no effort to show the reasonable hourly rates in San Mateo County, which is part of the San Francisco Bay Area. This court, however, may use its own experience to determine the value of attorneys' fees. (*Spencer v. Collins* (1909) 156 Cal. 298, 306 ["The value of attorney's services is a matter with which a judge must necessarily be familiar. When the court is informed of the extent and nature of such services, its own experience furnishes it with every element necessary to fix their value."]); *Reynolds v. Ford Motor Company* (2020) 47 Cal.App.5th 1105, 1113-14 ["The trial court acted well within its discretion in using 'the prevailing market value in the community for similar legal services' relying on its personal knowledge and familiarity with the area legal services, as the 'touchstone' for determination" of the reasonable hourly rates." (citations omitted)]). This court had extensive experience in class action and other common fund cases while an attorney and has made decisions about attorneys' fees and costs frequently during her time as a judicial officer. The court finds the hourly rates reasonable.

The court reviewed the work performed by the attorneys and overall concludes the work performed was top-heavy and much of it did not need the input of all three lawyers. For instance while the amount of time spent was small, it is unreasonable for three lawyers to review the notice of assignment, the request for dismissal of defendants, the notice of posting of jury fees by defendant, the drafting of plaintiff's jury fee request, and the court's notices of the complex case management conference. There is no showing why three attorneys needed to attend the mediation. The lodestar confirms in the court's mind that the fee award of 33% is reasonable, even though it results in a negative multiplier. The court acknowledges the work that plaintiff's counsel performed and commends it for successfully resolving the case, but there were no novel issues in this case, plaintiff paid the mediation fee on April 11, 2025, the mediation was held on June 6, 2025 with the case settled shortly thereafter, there was limited formal discovery and no motion practice except for the preliminary approval motion, only one case management conference and no trial date. The court in making the fee award takes into account that counsel has had to wait for payment.

COSTS

The court approves the costs of \$ 26,393.43 to class counsel as reasonable and necessarily incurred. The court also approves the fees of \$5,600.00 to ILYM as reasonable and necessarily incurred.

SERVICE FEE AWARD

Lorenzo requests \$10,000 as a fee award, but the court awards Lorenzo \$7,500.00 as a reasonable service fee award. The court acknowledges the important role she played in the litigation. While she signed a general release, she provides no facts to demonstrate that she had any claim different than the class members. While the court is aware of reputation harm, the law protects an employee from being retaliated against by an employer and if plaintiff believes that any employer

is retaliating against her for being a plaintiff in this lawsuit, she shall notify his counsel who shall immediately notify the court. The court has not been advised at any time during the course of this litigation of any alleged retaliation. *Gentry v. Superior Court* (2007) 42 Cal.4th 443 discusses the fear of retaliation as a reason an employee might not bring a lawsuit, but our Supreme Court states that the statistics demonstrated that enforcement mechanisms to sanction retaliation were working. (*Id.* at pp. 460-461.) The court acknowledges the in excess of 30 hours that Lorenzo states that she spent on the case and an incentive award gives her \$250.00 per hour. She did not have to sit for a deposition, respond to discovery or attend the mediation or any court hearings.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, counsel for plaintiff shall prepare a written order consistent with the court's ruling for the court's signature, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court. The court modifies San Mateo Local Rule to allow the parties to add additional information that they believe is necessary, but only when it is not inconsistent with the tentative ruling issued by the court. The court also suggest that the parties add the findings from the preliminary approval ruling since the final settlement approval summarizes those findings.

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LINE 6

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MOTION FOR ATTORNEY FEES

TENTATIVE RULING:

See tentative ruling on motion for final approval.
